

Government Subsidies for Growth

Public funding supports **infrastructure**, **education**, and **research**.

Support	Example	Growth channel
Infrastructure	China's public investment in roads, ports, and communications	Connect firms, workers, and markets.
Education	China's emphasis on funding education and improving literacy	Build workers' knowledge and skills.
R&D	U.S. support for ARPANET (1969) and NSFNET (1986)	Develop and spread networking technology.

Source: Chapter 9, government subsidies section; National Science Foundation, Internet history.